



NOVA

CORP

PROJECT NOVA

Hypothetical M&A DCF Valuation

Amazon (AMZN) + NVIDIA (NVDA)

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EXECUTIVE SUMMARY

Project NOVA

\$352,396M

Enterprise Value

\$320,396M

Equity Value

127%

Revenue Growth

\$28,070M

FCF Year 5

★ **RECOMMENDATION: STRATEGIC MERGER CREATES SIGNIFICANT VALUE** ★

Base case Enterprise Value of 352B reflects conservative assumptions. Upside scenario reaches 755B.

- ▶ Combined entity dominates AI infrastructure — cloud + chips under one roof
- ▶ FCF transforms from -7.1B (FY2022) to +28.1B (FY2027) as CapEx investment phase concludes
- ▶ Merger synergies add ~\$35B cumulative revenue over 5-year forecast period
- ▶ Terminal value represents 80% of Enterprise Value — reflecting long-duration cash generation

STRATEGIC RATIONALE

01 AI Infrastructure Dominance

NVIDIA supplies the chips. Amazon runs the cloud. Together they own the full AI value chain.

02 AWS + CUDA Ecosystem Lock-in

NVIDIA's CUDA platform + AWS creates unmatched developer stickiness and switching costs.

03 Cross-selling Opportunity

NVIDIA chips sold directly through AWS to millions of enterprise customers globally.

04 R&D Acceleration

Combined \$24B+ annual R&D budget accelerates next-generation AI chip and cloud development.

MACROECONOMIC CONTEXT

01 The AI Supercycle

Global AI infrastructure investment projected to exceed \$1 trillion by 2030. NOVA sits at the epicentre.

02 Interest Rate Environment

Elevated rates increase WACC and compress valuations — our 9.5% WACC reflects this conservatively.

03 Emerging Market Growth

Africa and Southeast Asia represent the next frontier for cloud adoption. AWS Africa already operational.

04 GDP & Terminal Value

Terminal growth of 3.0% exceeds global GDP — justified by secular AI demand growth trajectory.

AMAZON

AMZN

FY2022 Revenue \$110,812M

FY2022 Gross Profit \$47,882M

FY2022 Op. Income \$4,852M

FY2022 Net Income \$3,156M

4Y Revenue CAGR -4.2%

Primary Driver AWS Cloud + Commerce



NVIDIA

NVDA

FY2022 Revenue \$7,103M

FY2022 Gross Profit \$4,631M

FY2022 Op. Income \$2,671M

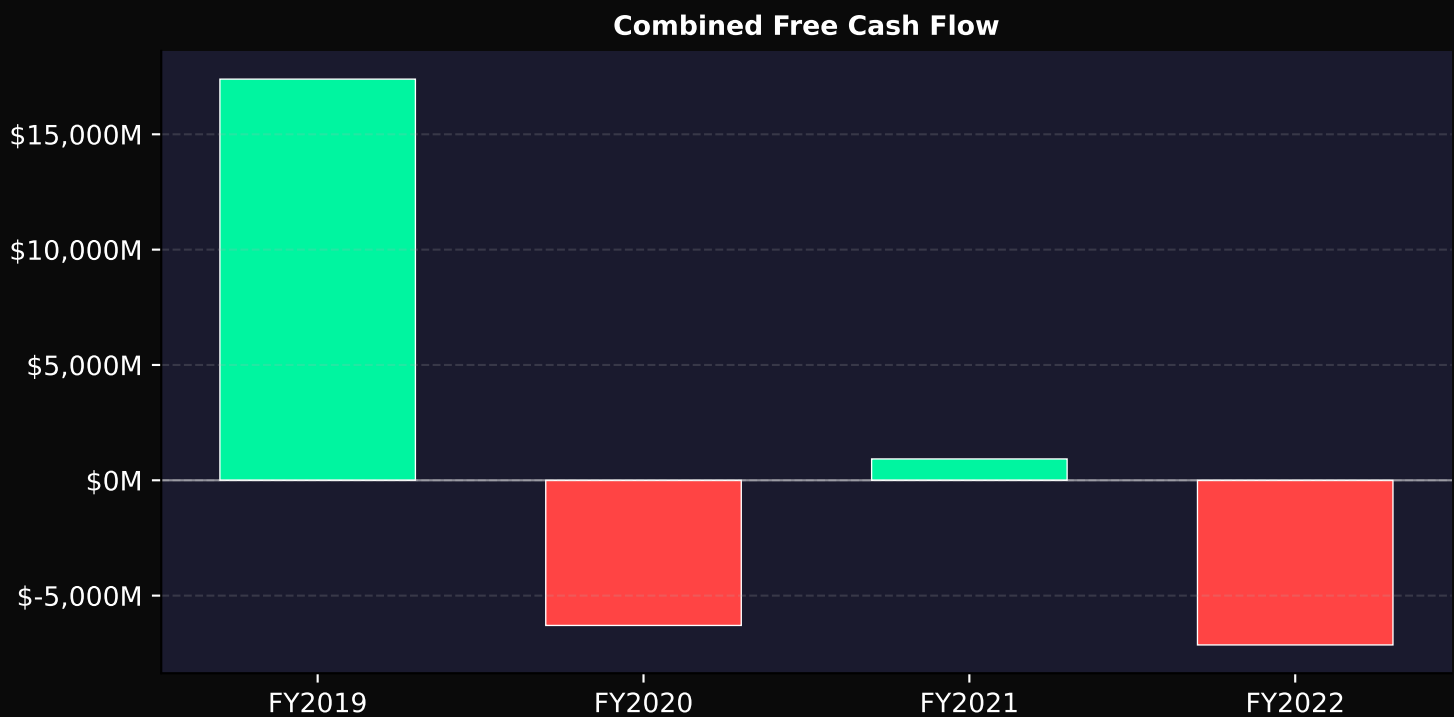
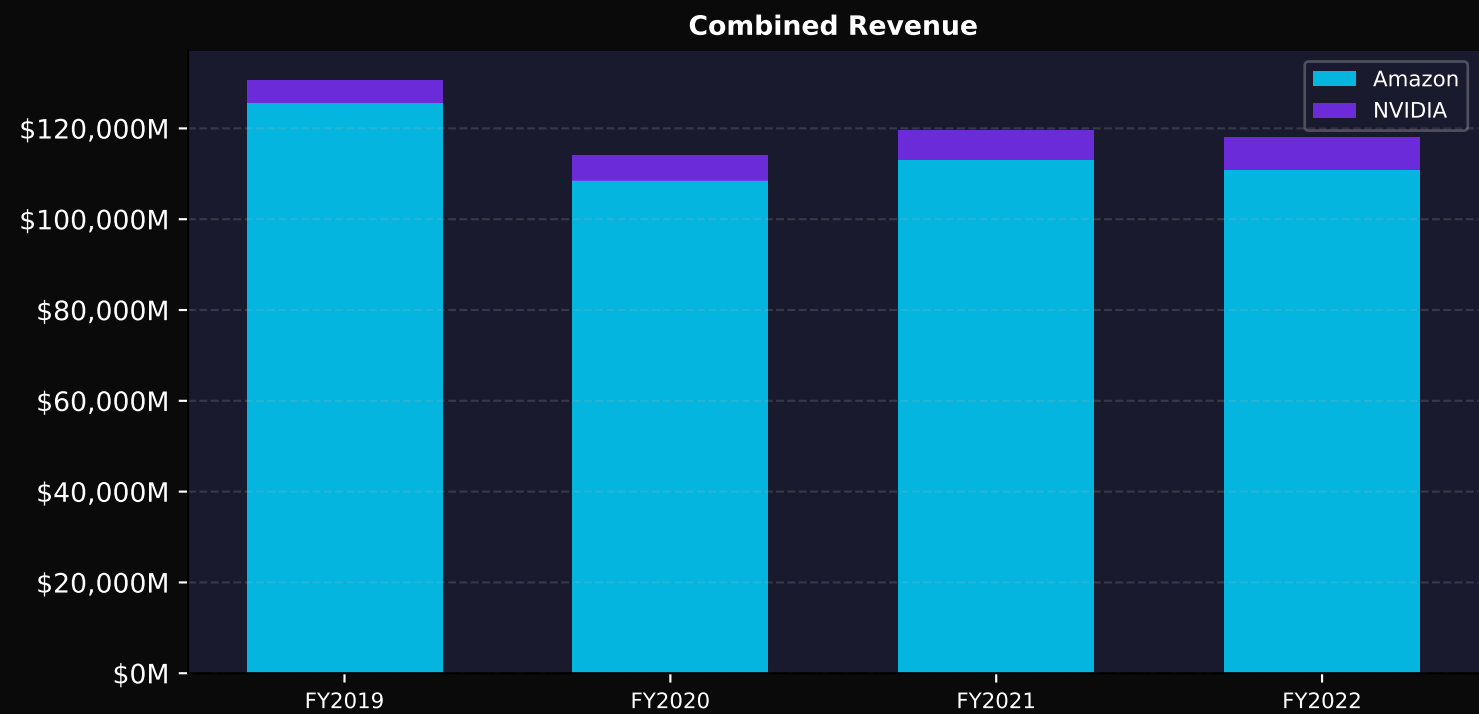
FY2022 Net Income \$2,464M

4Y Revenue CAGR +12.4%

Primary Driver AI/ML GPU Chips

HISTORICAL FINANCIAL ANALYSIS

Project NOVA



KEY INSIGHT — THE INVESTMENT PHASE NARRATIVE

FY2019

\$17,392M

FY2020

-\$6,293M

FY2021

\$926M

FY2022

-\$7,138M

Strong FCF — AWS scaling rapidly, NVIDIA riding gaming boom
COVID disruption — Amazon spends aggressively on logistics infrastructure
Partial recovery — investment continues but revenue growth slows
Peak investment year — Amazon over-hired post-COVID, CapEx at all-time high

DCF VALUATION — METHODOLOGY & RESULTS

Project NOVA



VALUATION RESULTS

Year 1 FCF **\$11,226M**

Year 5 FCF **\$28,070M**

Sum of PV (FCFs) **\$69,849M**

PV Terminal Value **\$282,547M**

PV Terminal Value **\$282,547M**

Enterprise Value **\$352,396M**

Less Net Debt **\$32,000M**

Equity Value **\$320,396M**

SENSITIVITY ANALYSIS — RANGE OF OUTCOMES

Project NOVA

Enterprise Value (\$M)
WACC vs Terminal Growth Rate

WACC	7.5%	8.0%	8.5%	9.0%	9.5%	10.0%	10.5%	11.0%	11.5%
	404978	436824	475040	521748	580133	655199	755287	895411	
	371403	397854	429115	466627	512476	569787	643473	741721	
	342666	364923	390890	421579	458405	503414	559676	632013	
	317799	336737	358589	384083	414212	450367	494556	549793	
	296075	312346	330940	352396	377427	407010	442509	485897	
	276939	291036	307013	325272	346340	370919	399968	434826	
	259959	272265	286108	301798	319728	340418	364555	393081	
	244794	255607	267692	281288	296697	314307	334626	358331	
	231171	240729	251349	263219	276573	291707	309003	328960	
Terminal Growth Rate									
1.5%2.0%2.5%3.0%3.5%4.0%4.5%5.0%									

SCENARIO SUMMARY

BEAR CASE

WACC: 11.5% | TGR: 1.5%

\$231,171M

BASE CASE

WACC: 9.5% | TGR: 3.0%

\$352,396M

BULL CASE

WACC: 7.5% | TGR: 4.5%

Base Case sits comfortably
in the middle of the range

\$755,287M

★ PROCEED WITH MERGER ★

Enterprise Value: 352,396M | Equity Value: 320,396M | Upside to Bull Case: +114%

BUY CASE — KEY DRIVERS

- ✓ AI infrastructure supercycle provides decade-long tailwind
- ✓ FCF inflection from -7.1B to +28.1B — transformational
- ✓ Merger synergies conservative at 8% — upside likely higher
- ✓ AWS + NVIDIA chips = unmatched competitive moat

KEY RISKS TO MONITOR

- ✗ Regulatory scrutiny — antitrust risk is significant
- ✗ Integration complexity — cultural and operational risk
- ✗ WACC sensitivity — rising rates compress valuation
- ✗ AI demand slowdown — terminal value highly sensitive

CLOSING THESIS

Project NOVA represents a generational merger opportunity at the epicentre of the AI revolution.

Conservative DCF assumptions yield 352B enterprise value with clear upside to 755B in a bull scenario.

The FCF transformation story — from volatile and negative to strongly positive — is the thesis in one number.